

↓ IF YOU'RE SELF-EMPLOYED

If you're your own boss—whether you're a full-time freelance writer or have a sideline business selling collectibles on eBay—consider opening one of the three basic types of retirement savings plans for self-employed people. The advantage of these plans is that they allow you to contribute (and deduct) much more than an IRA.

The first type of self-employment retirement plan is called a **SIMPLE IRA**. As the name suggests, SIMPLE IRAs are the least complicated kind of self-employment retirement plan. They work pretty much like traditional IRAs, except they allow you to set aside (and deduct) more money—up to \$11,500 a year—even if that accounts for all your self-employment income. You may be able to contribute even more than that, but the rules are fairly complex, so talk to an accountant before making any decisions. If you don't have employees, a SIMPLE IRA is easy to set up; if you do have people working for you, you may have to contribute for them as well. One catch you should be aware of: If you want to set up a SIMPLE plan, you have to do it before October 1 of the current tax year.

If your self-employment generates a lot more income, you might benefit more from a **simplified employee pension** or **SEP**, sometimes referred to as a **SEP-IRA**. The main difference is the amount of money you can contribute. You can contribute 20% of your first \$245,000 in net earnings from self-employment to a SEP, which means that, in theory, you could save up to \$49,000 a year toward your retirement and take the tax deduction. (Naturally, you can always set up a much smaller account.) To figure out your net earnings, go to the IRS website at www.irs.gov or consult an accountant. As with SIMPLE IRAs, a SEP may require you to make contributions for any employees you might have. And just like traditional IRAs, you can open a SEP right up to the April 15 tax filing deadline.

A third option, the **Individual 401(k)**, commonly known as a **Solo 401(k)**, works like a 401(k) added to a SEP-IRA. In theory, you can put away as much as \$65,500 a year in one of these accounts. The rules are complex, so definitely consult an accountant.

For more details on all of these options, contact a no-load, low-cost mutual fund company. Fidelity (www.fidelity.com; 800-FIDELITY) is a